

CITATION: Van Kessel v. Orsulak, 2010 ONSC 6919

COURT FILE NO.: CV-10-6-00

Kingston

DATE: 2010Dec24

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

GERRY VAN KESSEL

Plaintiff

– and –

STEPHEN F. ORSULAK, PENNDOT,
PAIGE T. ASSANTI, PRIME INC., BASIL
E. BROWN AND KEVIN RYMAN, INC.

Defendants

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)
)
) Chris Clifford, for the Plaintiff
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)

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) No one appearing for the Defendants,
) Stephen F. Orsulak and Penndot
)

) Marc D. Isaacs, for the Defendants, Assanti
) and Prime Inc., Moving Parties
)

) Sanj Sood, for the Defendants, Basil E.
) Brown and Kevin Ryman, Inc., Moving
) Parties
)
)

) **HEARD:** December 6, 2010
)

TRANMER, J

REASONS FOR ORDER ON MOTION

NATURE OF THE MOTION

[1] The Moving Parties are foreign defendants who seek an Order setting aside the service of the Statement of Claim upon them and dismissing the Plaintiff's claims against them for lack of jurisdiction in the Ontario Court or alternatively, an Order staying the action as against them on the basis of the principle of *forum non conveniens*.

THE FACTS

[2] This action arises out a motor vehicle collision which occurred on January 7, 2009 on Interstate 81 (I-81) in Mahanoy Township in the State of Pennsylvania, in the United States of America.

[3] The defendant, Stephen Orsulak, a resident of Barnesville, Pennsylvania, was driving a snowplough owned by PennDot, the Pennsylvania Department of Transport. It is alleged this vehicle pulled onto Interstate 81 to proceed northbound in dense fog and rain. He pulled into the westerly northbound lane with the intent, allegedly, to plough the west shoulder. It is alleged that his vehicle obstructed the left lane of the two northbound lanes. His yellow lights were not flashing at the time.

[4] The defendant, Paige Assanti, resides in Evergreen, Alabama. He was driving a motor vehicle owned by Prime Inc., a Missouri corporation. The Assanti vehicle collided with the right rear corner of the snowplough driven by Orsulak.

[5] The defendant, Basil Brown, is a resident of Berwick, Pennsylvania. He was driving a tractor-trailer unit owned by Kevin Ryman Inc., also of Berwick, Pennsylvania. His vehicle hit the right rear trailer corner of the Assanti vehicle then passed on the right side of the Assanti truck and when it was ahead of the Assanti vehicle, he steered his truck to the left and into the ride side of the Orsulak vehicle.

[6] The tractor-trailer unit operated by the plaintiff, Van Kessel then collided with the Assanti vehicle which had stopped and was blocking northbound traffic.

[7] There are significant liability issues, including weather conditions, road conditions, visibility, and driver action.

[8] Apart from the parties to this action, evidence on the liability issues would come from witnesses including Pennsylvania Police, Emergency Response Workers, Road and Weather Condition authorities, and other users of the highway at the time. Of these latter witnesses, all are identified as U.S. residents, save for two who are Ontario residents. One of these witnesses resides in Gananoque, Ontario. He was operating a transport truck immediately following behind the plaintiff's vehicle. The other such witness is a resident of Brockville, Ontario who was driving his transport truck southbound on Interstate 81 and who observed the Orsulak vehicle prior to it turning into the west northbound lane. That witness was providing the plaintiff with an update on the road and weather conditions, north of the accident scene, at the time of the collision.

[9] It is alleged the plaintiff suffered serious injuries in the collision including, mild traumatic brain injury, fractured humerus, fractured patella, cuts and abrasions to his face and soft tissue injury to his lower back.

[10] He was hospitalized initially for four days in Pennsylvania, but since then, has returned to Ontario, his place of residence, where all of his other treatment and rehabilitation services have occurred.

[11] It is alleged he continues to suffer impairments from his minor traumatic brain injury, pain from his upper arm and shoulder, ongoing pain in his right knee and his lower back, chronic post-traumatic stress disorder, word finding difficulties, short-term memory loss, avoidance of

social activities, decreased standing and walking tolerance, daily fatigue, difficulty managing anger, mood fluctuations, ongoing anxiety and decreased motivation and energy. He has been unable to return to any form of work. He is impaired as to his normal household chores. At the time of the collision and up to present, he lives on his own. Since the crash, his sole source of income has been \$400.00 weekly income replacement benefits from his accident benefits insurer. He has exhausted his savings, relying upon his mother and father to loan him cash, to make ends meet.

[12] In addition to the serious issues concerning liability, the damages suffered by the plaintiff will be a live issue for trial. These include: general damages for pain and suffering; loss of income to date and future; future care; housekeeping; and home maintenance. At this point, it is anticipated there will be nine lay witnesses testifying in respect to damages as well as a number of treating physicians, specialists and rehabilitation experts. The accident benefits insurer is located in Ontario and the adjuster on the claim may be a witness. O.H.I.P. has a subrogated interest as does Mondial Assistance, the third party administrator on behalf of Green Shield Canada, both of which have offices in Ontario.

[13] Despite communicating with lawyers in Pennsylvania, the plaintiff has not yet been able to retain a lawyer to act on his behalf in Pennsylvania concerning this crash.

[14] Pennsylvania law prescribes a two year limitation period which will expire January 7, 2011.

[15] The Defendants, Orsulak and PennDot, have not appeared on this motion nor in the action and have taken no position on the motion or in respect of the claim against them set out in the Statement of claim.

[16] The Moving Parties namely the Defendants, Assanti, Prime Inc., Brown and Ryman, set forth in their motion material that they will meet the Plaintiff's claims should the action be brought in Pennsylvania.

[17] The Defendant, Prime, occasionally picks up and delivers freight in Ontario. It has maintained an operating licence for Ontario since 1989, but Prime does not own any tractor-trailers that are registered in Ontario nor does it maintain an office in Ontario.

[18] The Defendant, Ryman, carries on business in the United States. Its vehicles occasionally enter Ontario to deliver and collect freight. Ryman does not carry on business from Ontario and does not own any tractor-trailers that are registered in Ontario nor does it maintain an office or employ any individuals in Ontario.

[19] No act or conduct on the part of these Moving Parties caused the plaintiff to be in the State of Pennsylvania at the time of the crash.

ANALYSIS

[20] The legal distinction between *jurisdiction simpliciter* and *forum non conveniens* must be respected. I deal, firstly, with the issue of *jurisdiction simpliciter*.

A. Jurisdiction Simpliciter

[21] The test is whether there is a real and substantial connection with Ontario such that the Superior Court of Justice of Ontario should assume jurisdiction over the Defendants who reside in and conduct their business primarily in the United States. (*Van Breda v. Village Resorts Ltd.* (2002), 98 O.R. (3d) 721 (C.A.); application for leave to appeal granted without costs (without reasons) July 8, 2010, [2010] S.C.C.A. No. 174.

[22] “...The real and substantial connection test requires only a real and substantial connection, not the most real and substantial connection...” (*Muscutt v. Courcelles* (2002), 60 O.R. (3d) 20 (C.A.) para[44]).

[23] The *Van Breda* decision is binding on me and sets out the analysis that this court should undertake.

1. Should a real and substantial connection be presumed on the grounds that the case falls within a connection specified in Rule 17.02?

[24] In this case, the Plaintiff relies on Rule 17.02(h) – *Damages Sustained in Ontario* - for authorization to serve the Statement of Claim upon the Defendants *ex juris*.

[25] Accordingly, the Plaintiff does not have the benefit of the presumption that a real and substantial connection exists on the law, as set out in *Van Breda, supra*.

[26] The burden falls on the Plaintiff to demonstrate that in the particular circumstances of the case, the real and substantial test is met.

2. Did the Plaintiff establish a real and substantial connection to Ontario?

[27] The core of the analysis rests upon the connection between Ontario and the Plaintiff’s claim and between Ontario and the Defendants.

(i) *The connection between Ontario and the Plaintiff's claim*

[28] Clearly, the trial issue involving the Plaintiff's damages has a significant connection to Ontario. Damages suffered in Ontario, while not presumptive of a real and substantial connection, have often been accepted as a significant connection. (*Van Breda, supra*, at para[114]). However, proof of damages sustained in Ontario as a factor alone has been held not to constitute sufficient basis to establish a real and substantial connection. It is only one of the factors to be considered (*Muscutt, supra* at para[28] and [29]; *Van Breda, supra* at para[75], [78] and [91]; *Gajraj v. DeBernardo* (2002, 60 O.R. (3d) 68 (C.A.) at para[14] and *Doiron v. Bugge* [2005] O.J. No. 4285 at para[10]).

(ii) *The connection between the forum and the Defendants*

[29] The Defendant drivers, Paige T. Assanti and Basil E. Brown, have no connection whatsoever on the evidence to Ontario.

[30] The vehicle owners, Prime Inc. and Kevin Ryman Inc., have little and, at best, transient connection to Ontario.

[31] The activities of these Defendants, on the evidence before me, do not amount to a significant connection to Ontario.

[32] No act or conduct on the part of these Defendants caused the Plaintiff to be travelling through Pennsylvania at the time of the crash. There is nothing in their conduct that could amount to subjection or submission to the jurisdiction of the Ontario courts. While these defendants, as motorists, might well have foreseen that negligence of their part could cause an injury to an out-of-state motorist who would return home and assert a claim for damages that, in

my view, does not constitute a significant connection to Ontario. There is no prior connection between the Defendants and the Plaintiff as was held to be a significant factor in *Doiron, supra*. These Defendants are strangers to the Plaintiff, as in *Gajraj, supra*.

(iii) Unfairness to the Plaintiff if this court does not assume jurisdiction

[33] The injuries to the Plaintiff would make it difficult to travel and remain in Pennsylvania for the conduct of the litigation. While no estimate of trial time was given before me, I would expect the significant liability issues and damages issues, if not narrowed, would require weeks to try.

[34] The Plaintiff provides evidence that the expense to him of litigating in Pennsylvania would be insurmountable, given his means and the number of lay and expert witnesses on the damages issue.

[35] He has been unable to hire a lawyer to act on his behalf in the United States and the limitation period is fast approaching.

[36] There is no evidence that any claim being advanced by the Plaintiff would be unavailable to him to advance if he were litigating in Pennsylvania.

[37] The Moving Parties have set out in their material that they are willing to meet the Plaintiff's case in Pennsylvania. (*Muscutt, supra* at para[65])

(iv) Unfairness to the Defendants if this court assumes jurisdiction

[38] The Plaintiff notes our *Rules of Civil Procedure* provide ways by which the involvement of these Defendants in litigation in Ontario could be facilitated.

[39] As in *Gajraj, supra* and *Doiron, supra*, I find the reasonable expectation of these parties would be that the claims for damages arising from a motor vehicle collision which occurred in Pennsylvania and the circumstances of this case would be litigated in Pennsylvania. Unlike *Doiron, supra*, there is no evidence that an Ontario insurer who is a necessary party defendant to the action must be sued in Ontario.

[40] There is evidence the Defendant, PennDot, must be sued in Pennsylvania. It is submitted by the Moving Parties and reasonable on the evidence before me that they will advance Cross-Claims against that Defendant. Should the Ontario court assume jurisdiction, this would necessitate the Moving Parties commencing proceedings in Pennsylvania and thus, necessitate multiple proceedings.

(v) *Involvement of Other Parties*

[41] The Defendants, Orsulak and PennDot, are very important Defendants. They are necessary parties on the evidence before me to any litigation arising from the subject collision. They must be sued in Pennsylvania. As I have pointed out, if Ontario assumes jurisdiction for the present action, there will be, of necessity, a multiplicity of proceedings to accommodate the Cross-Claims of the Moving Parties against the Defendants, Orsulak and PennDot.

(vi) *The Court's willingness to recognize and enforce an extra-provincial judgment rendered on the same jurisdictional basis.*

[42] I accept the view expressed by the Ontario Court of Appeal in *Gajraj, supra* at para[22]:

22 ...Ontario courts should hesitate to adopt a jurisdictional rule requiring Ontario motorists to defend themselves in foreign courts against suits for damages arising from accidents in Ontario or face enforcement of a default judgment against them. I do not think that by engaging in the everyday act of driving a

motor vehicle in Ontario, a driver should be taken to have assumed the risk of defending his or conduct in a foreign court. ...

(vii) *Whether the case is inter-provincial or international in nature?*

[43] This case is international. It is to be distinguished from a case in which the subject motor vehicle crash occurred in another Canadian province. This case is similar in fact to *Gajraj, supra* and *Doiron, supra* without the two significant features identified by the court in *Doiron* namely, the connection between the Plaintiff and the Defendant, they were not strangers to each other and the significant role of the Defendant Ontario insurer.

DECISION

[44] In my view, this case must be decided based on the precedents which are binding on me. The present case cannot be distinguished from *Gajraj, supra* in which the Ontario Court of Appeal ruled that Ontario should not assume jurisdiction. The present case is distinguishable from *Doiron, supra* where the Ontario Court of Appeal ruled that Ontario should assume jurisdiction because in that case, the Court of Appeal placed great emphasis on the two factors: firstly, the Ontario plaintiff and the New York defendant were not strangers to each other; and secondly, the defendant Ontario insurer was a significant and necessary party to the action on the evidence and it had to be sued in Ontario.

(viii) *Forum of Necessity*

[45] The Plaintiff has also asked this court to consider the doctrine of the forum of necessity and to exercise the residual discretion in this court to assume jurisdiction, despite the absence of a real and substantial connection. The Plaintiff asks that I do this to ensure access to justice for this Plaintiff.

[46] The factors that weigh on this consideration include that the time limitation for an action to be commenced in Pennsylvania expires January 7, 2011.

[47] The Plaintiff is now making inquiries of a fifth lawyer in the United States, having not yet been able to retain a lawyer to represent him to litigate in Pennsylvania.

[48] The Plaintiff has little or no means to conduct a trial in the United States.

[49] There is no evidence the claims being advanced by the Plaintiff would not be satisfied in full, if litigated in Pennsylvania. There is no evidence as to any insurance policy limit issues. The Moving Parties have asserted they will, in fact, meet the Plaintiff's claims, if the matter is litigated in Pennsylvania.

[50] It is not a case where the Plaintiff would be denied any rights or benefits, at law, that would be afforded to him in an Ontario court. Pennsylvania law would apply whether the litigation is conducted in Ontario or Pennsylvania.

[51] I do not think this is a case where the facts that the high costs to the Plaintiff to litigate in Pennsylvania or that in the two years he has not yet retained legal counsel in Pennsylvania warrant this court exercising its discretion to assume jurisdiction, in the absence of a real and substantial connection.

[52] This court recognizes this result is a regrettable result for the Plaintiff. However, I feel that I am bound to reach the decision that I have on the basis of the authorities and in particular, *Van Breda, supra*, *Gajraj, supra* and *Doiron, supra*.

[53] As a result, this court sets aside the service of the Statement of Claim upon the Moving Parties and orders that the Plaintiff's action as against them shall be and is hereby dismissed.

B. Forum Non Conveniens

[54] In view of the finding I have made in regard to *jurisdiction simpliciter*, it is not necessary for me to go on to consider *forum non conveniens* submissions made by the Moving Parties.

COSTS

[55] If the parties are unable to come to an agreement in respect to costs, they may make submissions, if demanded, in writing to me. The Defendants shall make their written costs submissions within seven days hereof, limited to three pages plus a costs outline. The Plaintiff shall be afforded five days from upon receipt of the Defendants' submissions in which to make his costs submissions, also limited to three pages plus a costs outline.

Tranmer, J

Released: December 24, 2010